UPDATE

Software | North America

Valuation Views 02/23/26 – Positioning Drove Performance

February 23, 2026 04:26 PM GMT

Keith Weiss, CFA, Sanjit K Singh, Meta A Marshall, Josh Baer, CFA, Elizabeth Porter, CFA, Chris Quintero

Software lagged the market (S&P +1.0%, NASDAQ +1.7%) as there was substantial earnings dispersion. Application names that have been most out of favor like RNG, FIG, AMPL outperformed while YTD outperformers and relatively in favor names like CRWV, AKAM, PANW underperformed.

Software | North America
Industry View: Attractive

Latest Podcast: The Upload with Keith Weiss: NeoCloud Temperature Check – What Are We Looking for in 2026?

Assessing Software – Price Performance

	Performance						52 Week High	
Company	**1 Week**	**1 Month**	**3 Month**	**YTD**	**1 Year**	**3 Year**	**Price**	**% Below**
Software Mean	-1.9%	-15.6%	-19.6%	-23.5%	-32.0%	16.5%		46.1%
Software Median	-2.2%	-16.5%	-22.3%	-24.7%	-32.8%	-15.8%		46.0%
NASDAQ	1.5%	-0.3%	3.7%	-1.5%	14.6%	94.2%		
S&P 500	1.1%	1.7%	5.7%	0.9%	12.9%	69.4%		
Russell 2000	0.6%	0.7%	15.6%	7.3%	17.8%	36.9%		
IGV	-2.4%	-15.8%	-19.9%	-23.6%	-22.3%	41.8%		

Exhibit 1:

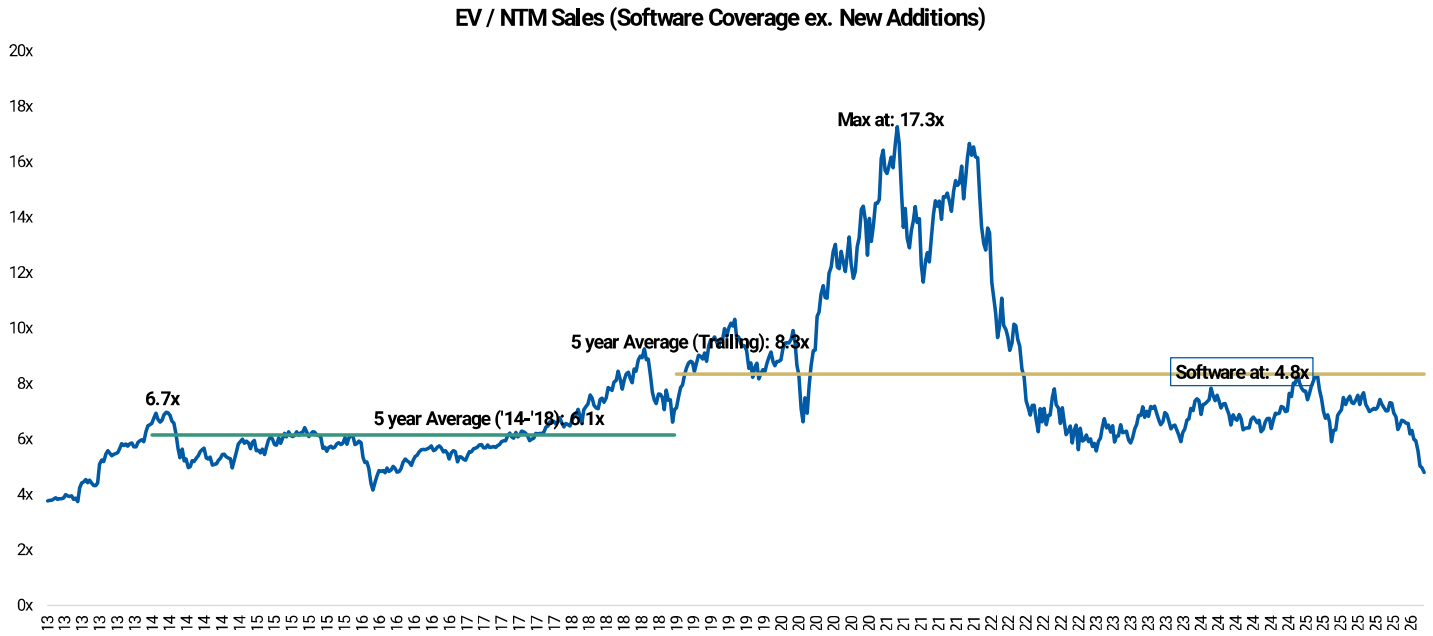
2	SAIL	30.4%	FIG	15.8%	DOCN	27.2%	DOCN	32.2%
3	ASAN	25.7%	FIVN	15.3%	FIVN	12.7%	OS	27.8%
4	NBIS	18.6%	NICE	13.7%	ZM	11.0%	CRWV	24.6%
5	PATH	18.6%	SHOP	12.0%	FTNT	6.0%	NBIS	17.0%
6	DBX	17.4%	AMPL	11.7%	AKAM	5.1%	AKAM	7.9%
7	CRWV	16.5%	APPN	9.9%	NICE	5.0%	ZM	4.6%
8	CXM	15.0%	CMRC	9.0%	RAMP	3.5%	NICE	4.1%
9	DOCN	14.4%	WTC	7.8%	BILL	2.7%	CFLT	1.5%
10	SEMR	14.1%	TTAN	6.1%	CFLT	0.9%	FTNT	0.7%

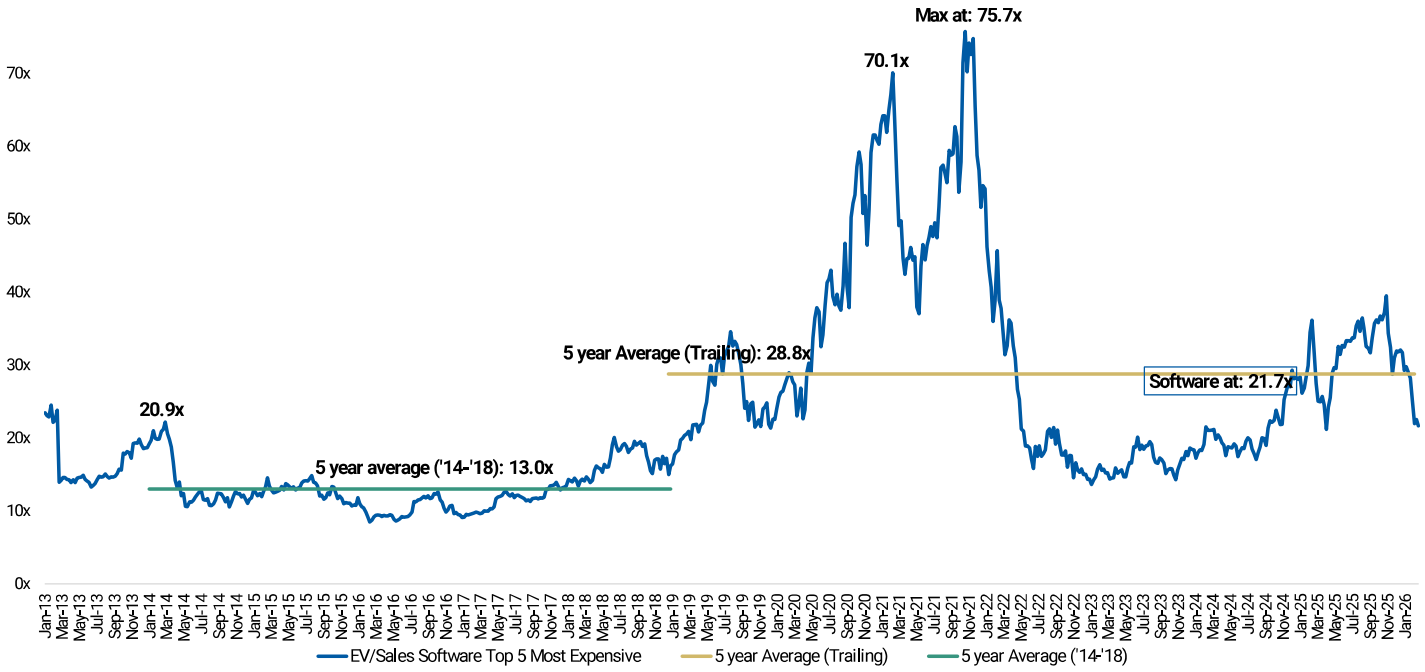
Bottom 10	Short interest %		1 Week Price Move		1 Month Price Move		YTD	
Rank	Ticker	2/20/2026	Ticker	2/20/2026	Ticker	2/20/2026	Ticker	2/20/2026
1	SHOP	0.7%	FROG	-27.0%	RPD	-47.5%	RPD	-56.8%
2	MSFT	0.8%	AKAM	-15.7%	MNDY	-40.4%	TEAM	-53.1%
3	DSGX	1.1%	OKTA	-14.9%	PD	-40.1%	BRZE	-50.0%
4	SSNC	1.7%	TENB	-11.7%	DOCS	-37.8%	PD	-49.9%
5	CRM	1.9%	QLYS	-11.7%	TEAM	-35.6%	MNDY	-48.8%
6	ORCL	2.0%	NTSK	-11.4%	CCC	-35.1%	ASAN	-47.0%
7	PLTR	2.0%	PANW	-10.9%	SPSC	-35.0%	KVYO	-46.7%
8	NOW	2.1%	SAIL	-10.9%	VIA	-33.1%	VIA	-43.0%
9	INTU	2.2%	GTLB	-10.7%	VERX	-32.9%	INTU	-42.6%
10	ADSK	2.2%	ZS	-10.1%	FROG	-32.5%	DOCS	-42.3%

Source: Factset

Assessing Software – Where Are the Multiples?

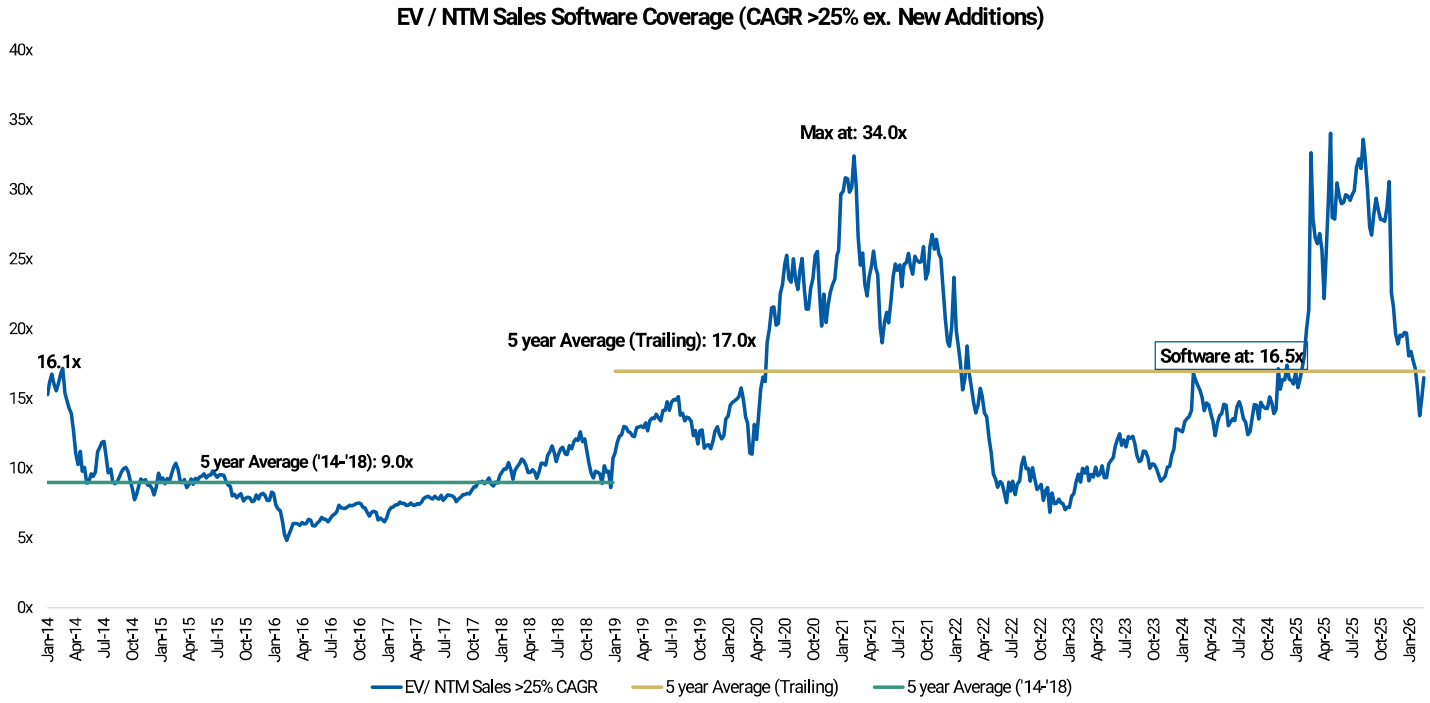
Exhibit 2: Overall Software Coverage Group Trading 43% Below the Trailing 5-Year Average...





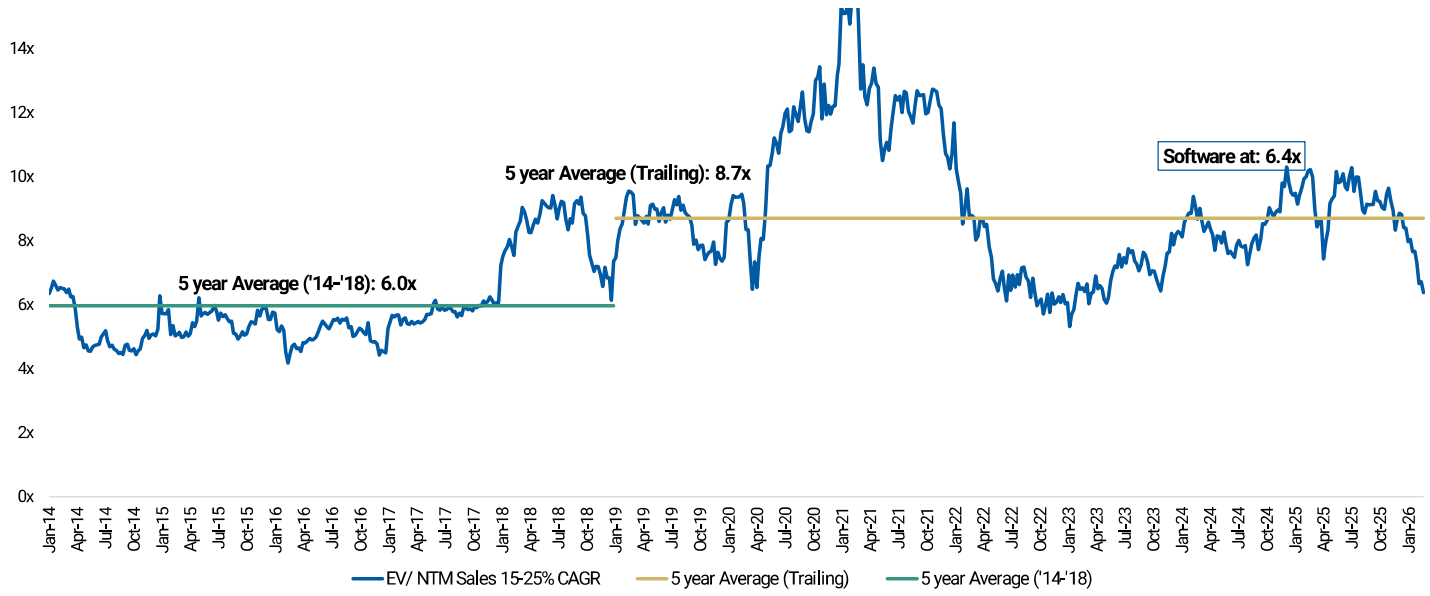
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 4: ...And the Broader High Growth Group Is Trading 3% Below the Trailing 5-year Average...



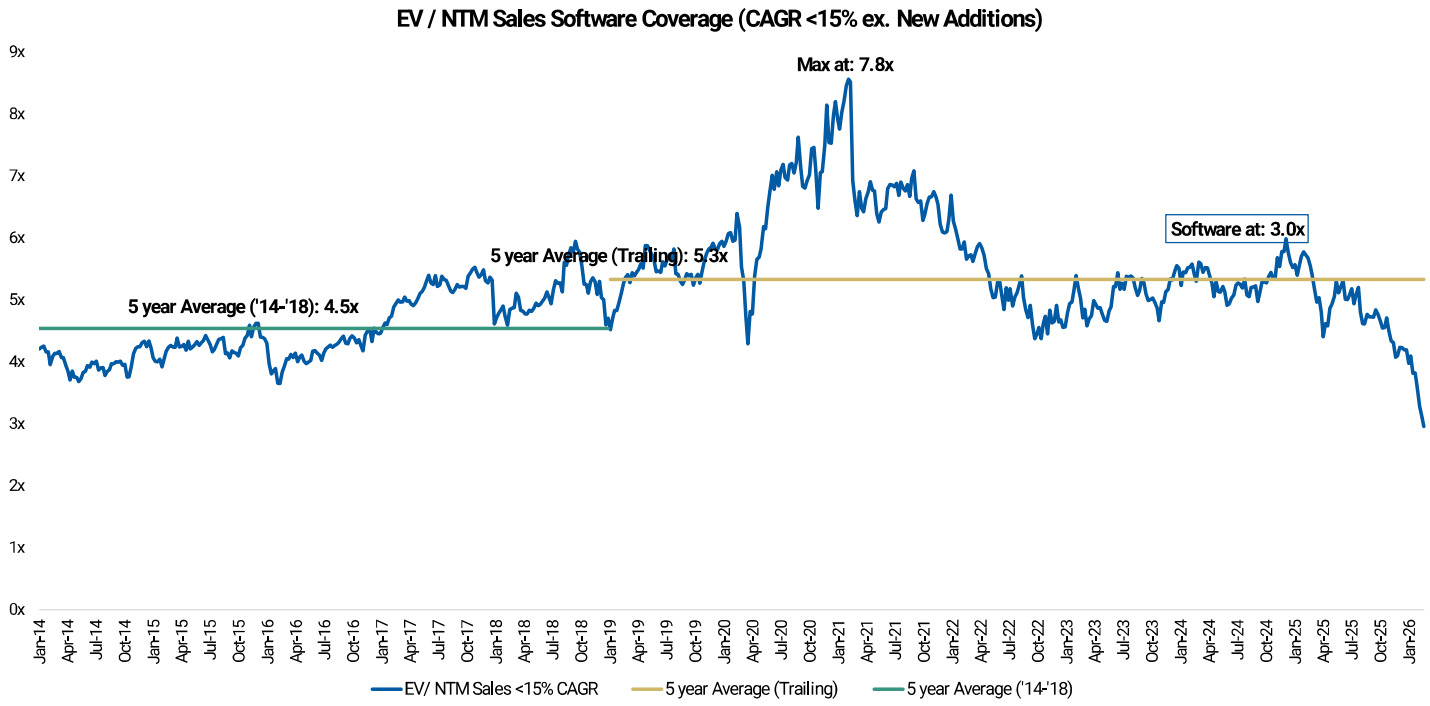
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 5: ...With the 15-25% Growth Group Trading 27% Below the Trailing 5-year Average...



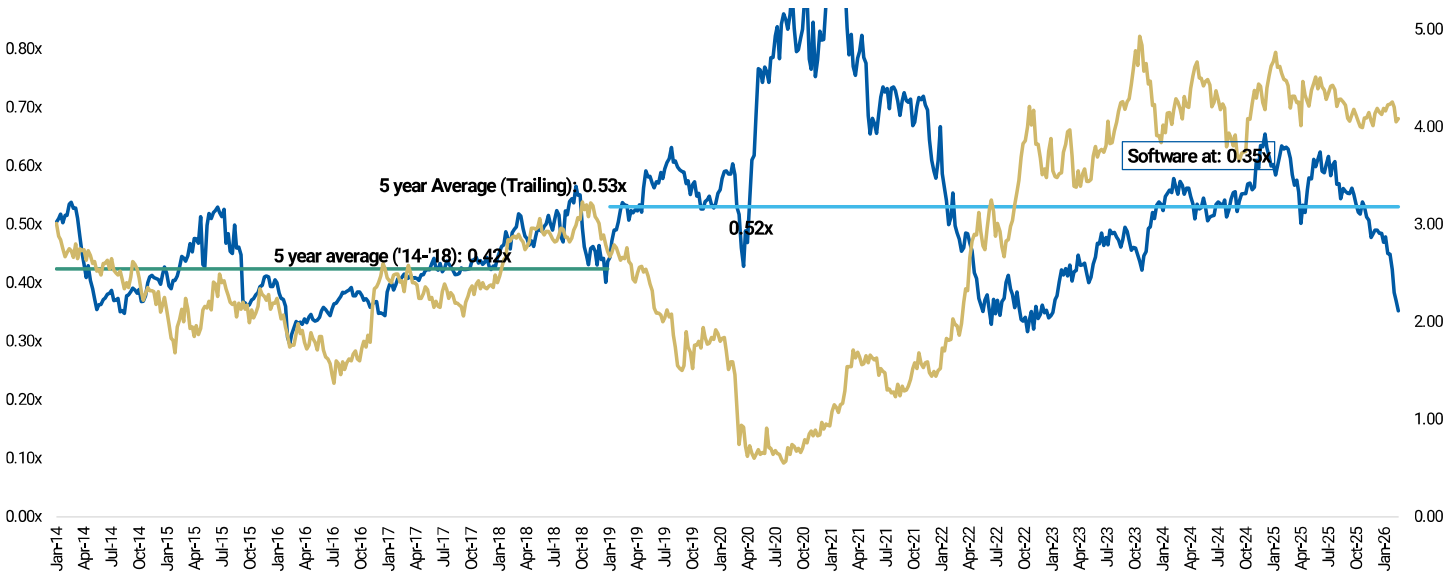
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 6: ...And Slow Growers Trading 45% Below the Trailing 5-year Average...



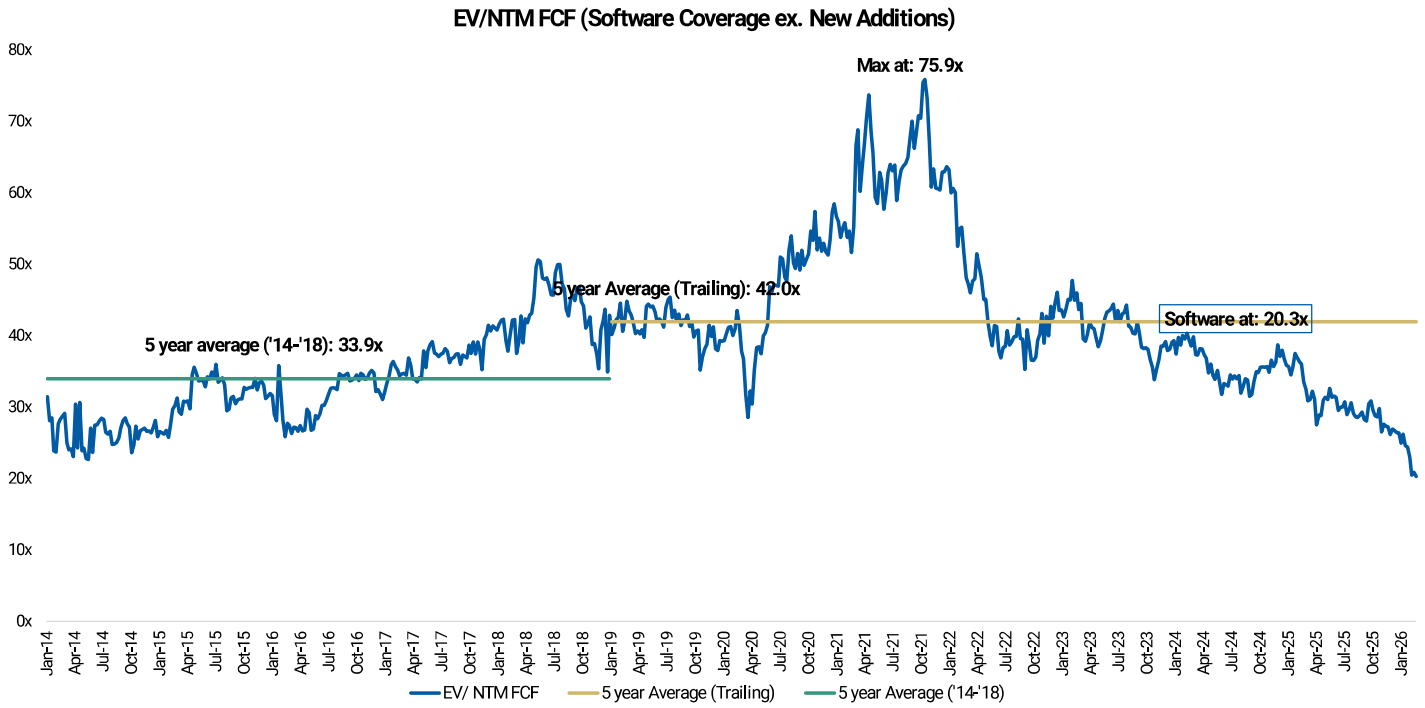
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 7: ...On a Growth-Adjusted Basis, Software Trading 34% Below the Trailing 5-year Average



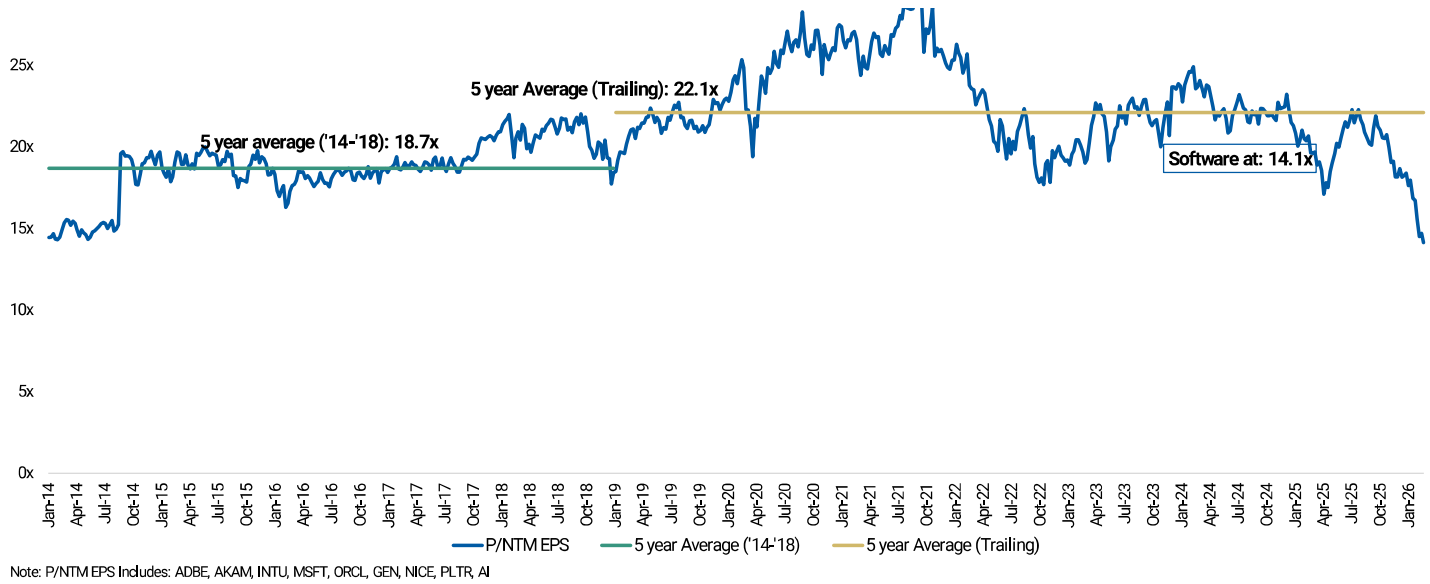
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 8: Overall FCF Multiples ~73% Off the Peak, and 52% Below the Trailing 5-Year Average



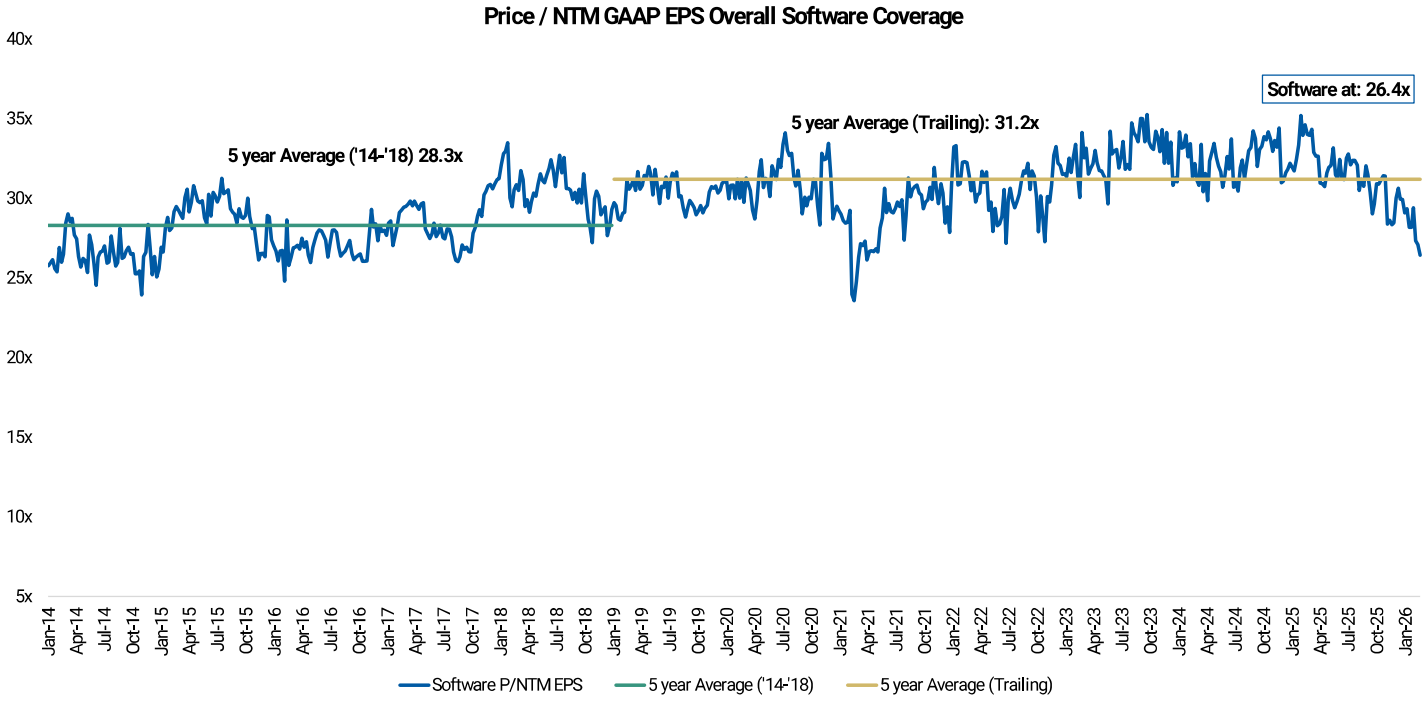
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 9: Overall P/E Multiples 36% Below the Trailing 5-Year Average...



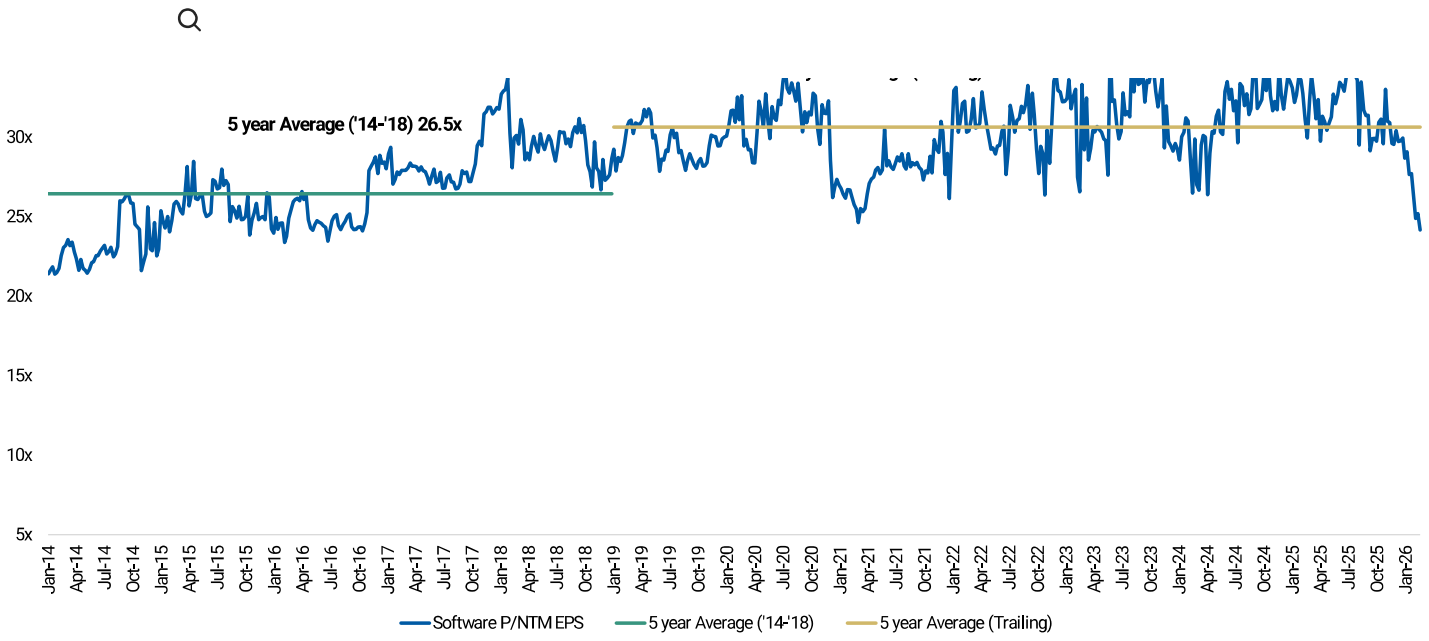
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 10: Overall GAAP PE All Coverage 15% Below the Trailing 5-Year Average..



Source: Morgan Stanley Research, FactSet, Company data

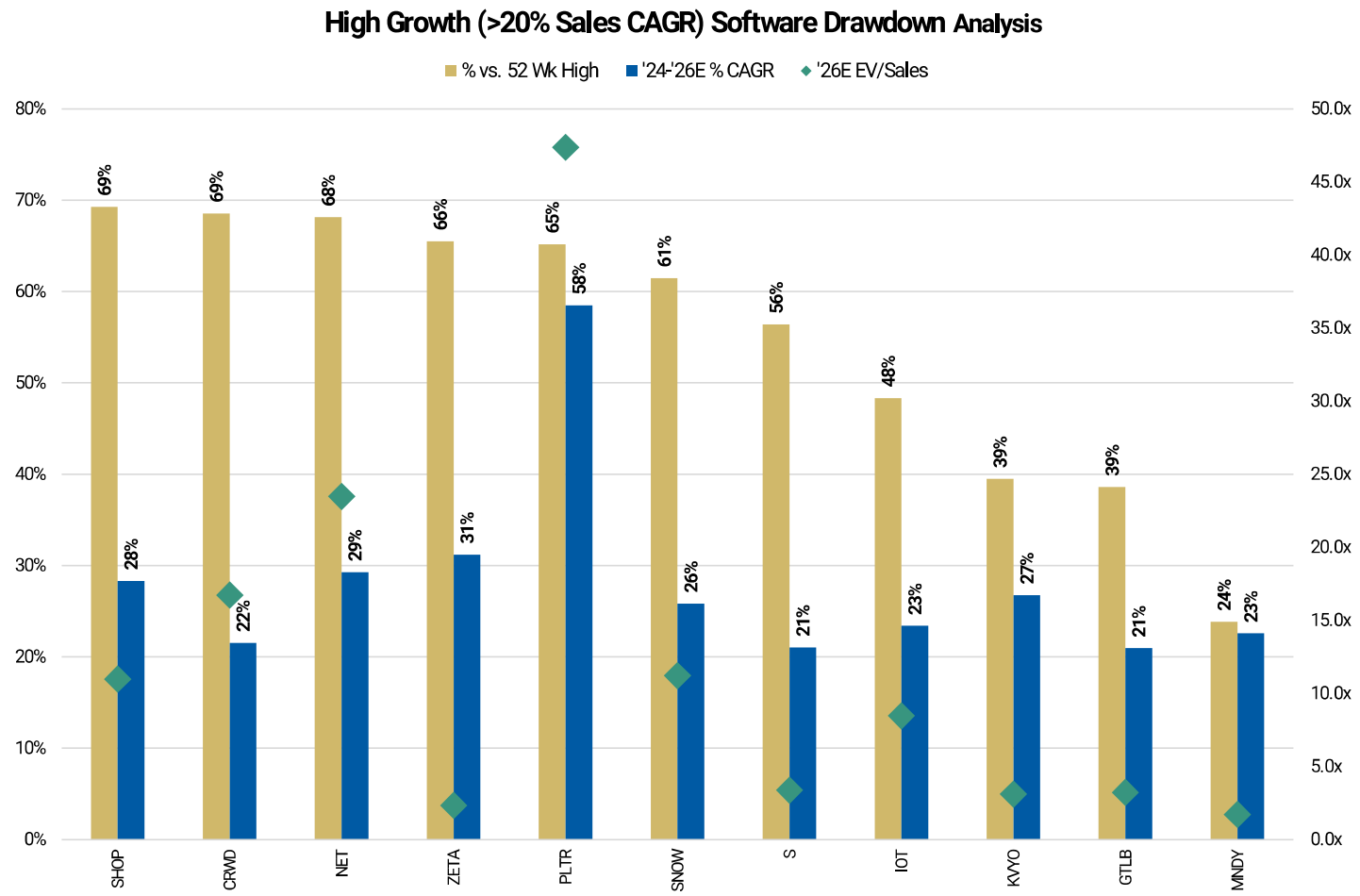
Exhibit 11: Overall GAAP PE Select Coverage (ADBE, ADSK, AKAM, CHKP, CTXS, FTNT, INTU, MSFT, GEN, ORCL, PTC, VMW) 21% Below the Trailing 5-Year Average..



Source: Morgan Stanley Research, FactSet, Company data

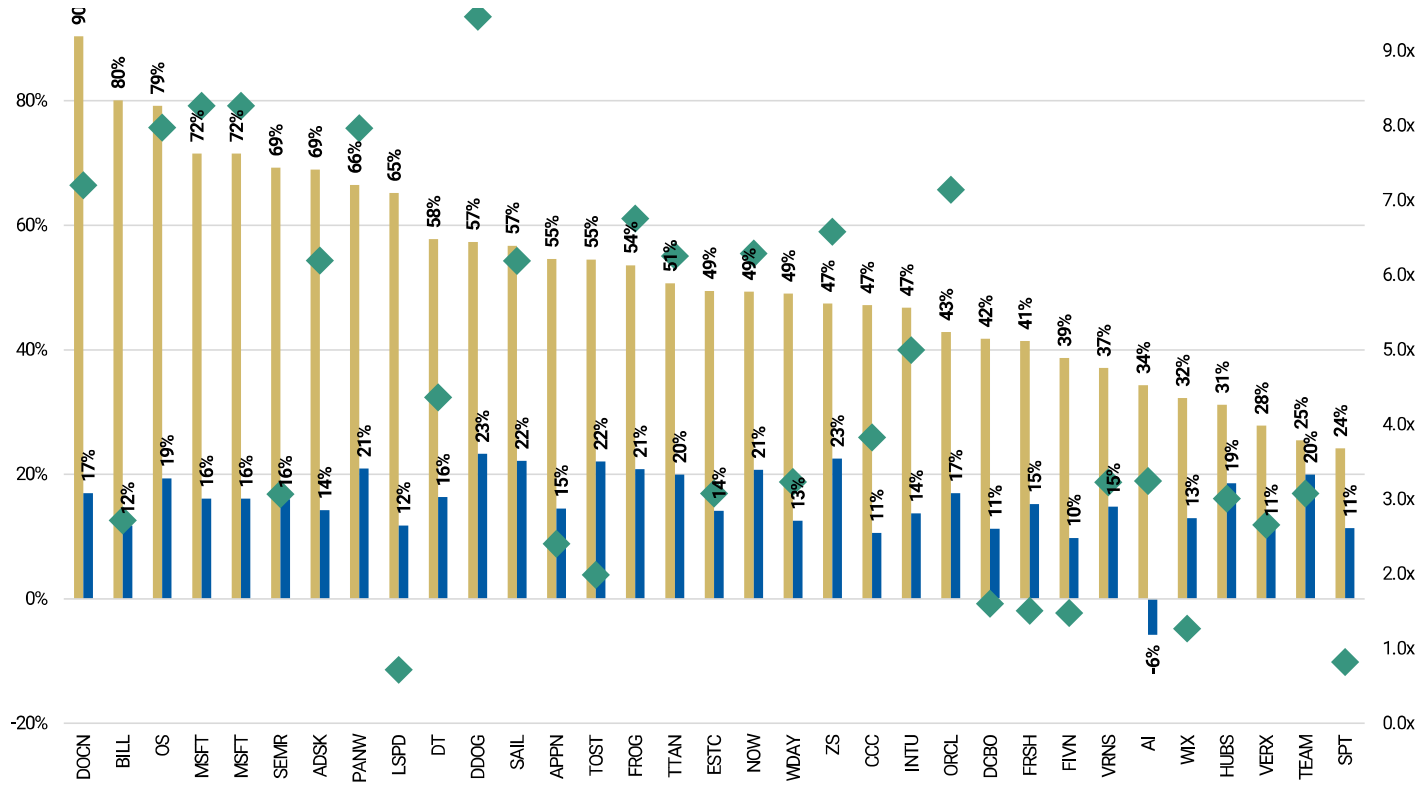
Assessing the Pullback – Growth and Performance Versus Multiples

Exhibit 12: Average High-Growth Company: 55% of 52Wk High, Avg. 2-Year Sales CAGR of 28%, Avg. EV/CY26 Sales of 12.0x



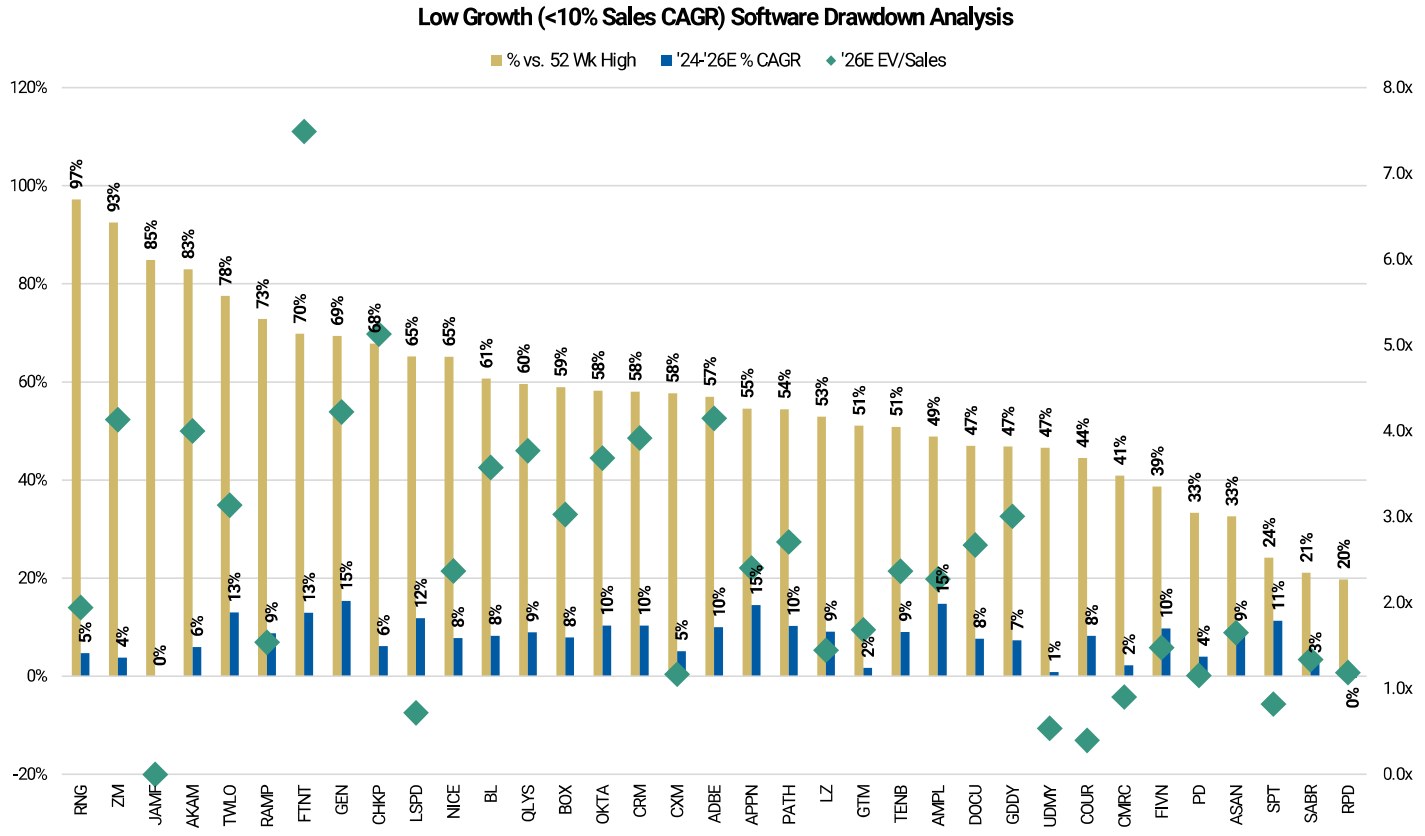
Source: Morgan Stanley Research, FactSet, Company data

Exhibit 13: Average Med-Growth Company: 52% of 52Wk High, Avg. 2-Year Sales CAGR of 15%, Avg. EV/CY26 Sales of 4.5x



Source: Morgan Stanley Research, FactSet, Company data

Exhibit 14: Average Low-Growth Company: 56% of 52Wk High, Avg. 2-Year Sales CAGR of 8%, Avg. EV/CY26 Sales of 2.5x



Source: Morgan Stanley Research, FactSet, Company data

Morgan Stanley is acting as exclusive financial advisor to Confluent, Inc. ("Confluent") in relation to their definitive agreement to be acquired by International Business Machines Corporation, as announced on December 8, 2025. The proposed acquisition is subject to approval by Confluent shareholders, regulatory approvals and other customary

Morgan Stanley is acting as a financial advisor to Udemy, Inc. ("Udemy") in relation to their definitive merger agreement with Coursera, Inc. ("Coursera"), as announced on December 17, 2025. The transaction is subject to Udemy and Coursera shareholder approvals, receipt of required regulatory approvals and the satisfaction of other customary closing conditions. This report and the information provided herein is not intended to (i) provide voting advice, (ii) serve as an endorsement of the proposed transaction, or (iii) result in the procurement, withholding or revocation of a proxy or any other action by a security holder. Udemy has agreed to pay fees to Morgan Stanley for its financial services, including transaction fees that are contingent upon the consummation of the transaction. Please refer to the notes at the end of the report.

DISCLOSURE

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section

More from Software

UPDATE
IT Hardware: Monthly Data Tracker: App Store Growth Is Reaccelerating
23 Feb 2026 6:16 AM GMT

UPDATE
Software: Valuation Views 02/23/26 – Positioning Drove Performance
23 Feb 2026 1:16 AM GMT

IDEA
Podcast | The Upload with Keith Weiss: NeoCloud Temperature Check – What Are We Looking for in 2026?
20 Feb 2026 8:14 PM GMT

Suggested

UPDATE
Software: Valuation Views 02/23/26 – Positioning Drove Performance
23 Feb 2026 4:26 PM GMT

UPDATE
Software: Valuation Views 02/23/26 – Positioning Drove Performance
23 Feb 2026 1:16 AM GMT

UPDATE
US Technology: Large-Cap Institutional Ownership 4Q25: NVDA Still the Most Under-Owned Mega-Cap Tech Stock
18 Feb 2026 4:00 AM GMT

Telecom & Networking Equipment: Into the Spotlight: Optical Market Opportunities

24 Feb 2026 3:04 PM GMT

IDEA

Booking Holdings Inc: No Direct Detours; Checking in to Upgrade; OW $5,500 PT

23 Feb 2026 9:05 PM GMT

IDEA

US Equity Strategy: US Equity Strategy: Institutional 13F Positioning - 4Q25

23 Feb 2026 9:00 PM GMT

We'd love to get your feedback

Do you have a suggestion? Is there something you would like us to improve? Please let us know

Provide feedback

Global Cross-Asset Directory

Research Coverage: Global Directory

Help & Support

Research Disclosures

Privacy & Cookies

Terms of Use

FINRA's BrokerCheck ↗

For important disclosure information related to our covered stock(s), including ratings definitions, please refer to the latest research report or click **here**

The research and other information provided on this site speaks only as of its date. We have not undertaken, and will not undertake, any duty to update the research or information contained on this site or otherwise advise you of changes in our opinion or in the research or information. Continued access to the research and other information is provided for your convenience only, and is not a republication or reconfirmation of the opinions or information contained therein.

© 2026 Morgan Stanley. The content of this site may not be reprinted, sold or redistributed in whole or in part without prior written consent from Morgan Stanley.